

A-Level Business Formulas

Theme 1

$$\text{Market Share} = \frac{\text{Total Sales of the business or product or brand}}{\text{Total sales in the market}} \times 100$$

$$\text{Price Elasticity of Demand} = \frac{\% \Delta Qd}{\% \Delta P}$$

$$\text{Income Elasticity of Demand} = \frac{\% \Delta Qd}{\% \Delta Y}$$

$$\% \text{ Mark Up (Cost-Plus Pricing)} = \text{Unit cost} + \text{mark-up}$$

$$\text{Unit Cost} = \frac{\text{Total Costs}}{\text{Number of Units}}$$

Theme 2

$$\text{Net Cash Flow} = \text{Total Cash Inflow} - \text{Total Cash Outflow}$$

$$\text{Opening Balance} = \text{Closing Balance from previous period}$$

$$\text{Closing Balance} = \text{Opening Balance} + \text{Net Cash Flow}$$

$$\text{Sales Revenue} = \text{Price} \times \text{Quantity Sold}$$

$$\text{Total Costs} = \text{Total Fixed Costs} + \text{Total Variable Costs}$$

$$\text{Breakeven} = \frac{\text{Fixed Costs}}{(\text{Selling Price per Unit} - \text{Variable Cost per Unit})}$$

$$\text{Contribution per Unit} = \text{Selling Price per Unit} - \text{Variable Cost per Unit}$$

$$\text{Total Contribution} = \text{Contribution per Unit} \times \text{Quantity sold}$$

$$\text{Profit} = \text{Total Revenue} - \text{Total Costs} \text{ or } \text{Total Contribution} - \text{Fixed Costs}$$

$$\text{Variance} = \text{Actual figure} - \text{Budgeted figure}$$

$$\text{Gross Profit} = \text{Sales Revenue} - \text{Cost of Sales}$$

$$\text{Operating Profit} = \text{Gross Profit} - \text{Other Operating Expenses (Overheads or Fixed Costs)}$$

$$\text{Net Profit} = \text{Operating Profit} - \text{Finance costs and tax}$$

$$\text{Profit Margins} = \left(\frac{\text{Gross, Operating or Net Profit}}{\text{Sales Revenue}} \right) \times 100$$

$$\text{Current Ratio} = \frac{\text{Current Assets}}{\text{Current Liabilities}}$$

$$\text{Acid Test Ratio} = \frac{(\text{Current Assets} - \text{Inventories})}{\text{Current Liabilities}}$$

$$\text{Productivity} = \frac{\text{Output}}{\text{Inputs per Time Period}}$$

$$\text{Capacity Utilisation} = \left(\frac{\text{Current or Actual Output}}{\text{Maximum Possible Output}} \right) \times 100$$

Theme 3

Learn the steps for a three and four part moving average

$$\text{Payback month} = \frac{\text{Outlay outstanding}}{\text{Monthly cash in year of payback}}$$

$$\text{Average Rate of Return} = \left(\frac{\text{Average Annual Profit}}{\text{Initial Outlay}} \right) \times 100$$

$$\text{Present Value} = \text{Net Cash Flow} \times \text{Discount Factor}$$

$$\text{Net Present Value (NPV)} = \text{Total of PVs including the cost of investment}$$

$$\text{Expected Values (Decision Trees)} = \text{Probability of outcome} \times \text{result of outcome}$$

$$\text{Net Gain} = \text{Total Expected Value for Decision} - \text{Cost of Investment}$$

$$\text{Float (Critical Path Analysis)} = \text{LFT} - \text{Duration} - \text{EST}$$

$$\text{Gearing} = \left(\frac{\text{Non-Current Liabilities}}{\text{Capital Employed}} \right) \times 100$$

$$\text{Capital Employed} = \text{Non Current Liabilities} + \text{Total Equity}$$

$$\text{Return on Capital Employed} = \left(\frac{\text{Operating Profit}}{\text{Capital Employed}} \right) \times 100$$

$$\text{Labour Productivity} = \frac{\text{Output per period}}{\text{Number of employees per period}}$$

$$\text{Labour Turnover} = \left(\frac{\text{Number of Staff Leaving in Period}}{\text{Average Number of Staff}} \right) \times 100$$

$$\text{Labour Retention} = \left(\frac{\text{Staff not leaving in period}}{\text{Average number of staff in period}} \right) \times 100$$

$$\text{Absenteeism} = \frac{\text{Total Absence in the period}}{\text{Possible total}} \times 100$$